

QUESTION 1 (23 marks)

Your friend Jordan, a recent graduate from another university, has started a retail clothing business called StyleHub Ltd. Excited by the impressive cash balance shown in the bank account at the end of January, Jordan believes the business is thriving. Jordan reaches out to you, knowing that your accounting expertise can help provide a complete financial picture.

PART 1 (16 marks)

REQUIRED: Identify the effects of the following transactions:

Ref	Description
1.1	Jan. 1: Jordan and co-founders invest \$20,000 cash into the company in exchange for common stock.
1.2	Jan. 1: Borrows \$50,000, repayable in full at the end of one year (with interest of 12% at final payment).
1.3	Jan 15: Buys equipment worth \$60,000 on credit with payment due in 30 days. Estimated life is 5 years.
1.4	Jan 15: Buys clothing inventory worth \$90,000 on credit from suppliers, payment due in 30 days.
1.5	Jan 15: Pays \$12,000 cash for three months of rent and insurance coverage.
1.6	Jan. 31: Total cash sales were \$50,000 for the month, with cost of inventory being \$30,000.
1.7	Jan. 31: Pays \$3,000 for utilities and other operating costs relating to January. No unpaid amounts.
1.8	Jan. 31: Owes \$15,000 in employee salaries for the month, but payment will be on Feb. 15 th .

Balance Sheet											Income Statement				
Cash	+	Noncash Assets	-	Contra Assets	=	Liabilities	+	Contrib. Capital	+	Earned Capital	Revenues	-	Expenses	=	Net Income
Ref. 1.1															
Ref. 1.2															
Ref. 1.3															
Ref. 1.4															
Ref. 1.5															
Ref. 1.6															
Ref. 1.7															
Ref. 1.8															

PART 2 (3 marks)

REQUIRED: Do any accounts need to be adjusted on January 31st? Which ones?

PART 3 (4 marks)

REQUIRED: Jordan said, "We have plenty of cash, so we are doing great!". Do you agree? Explain.